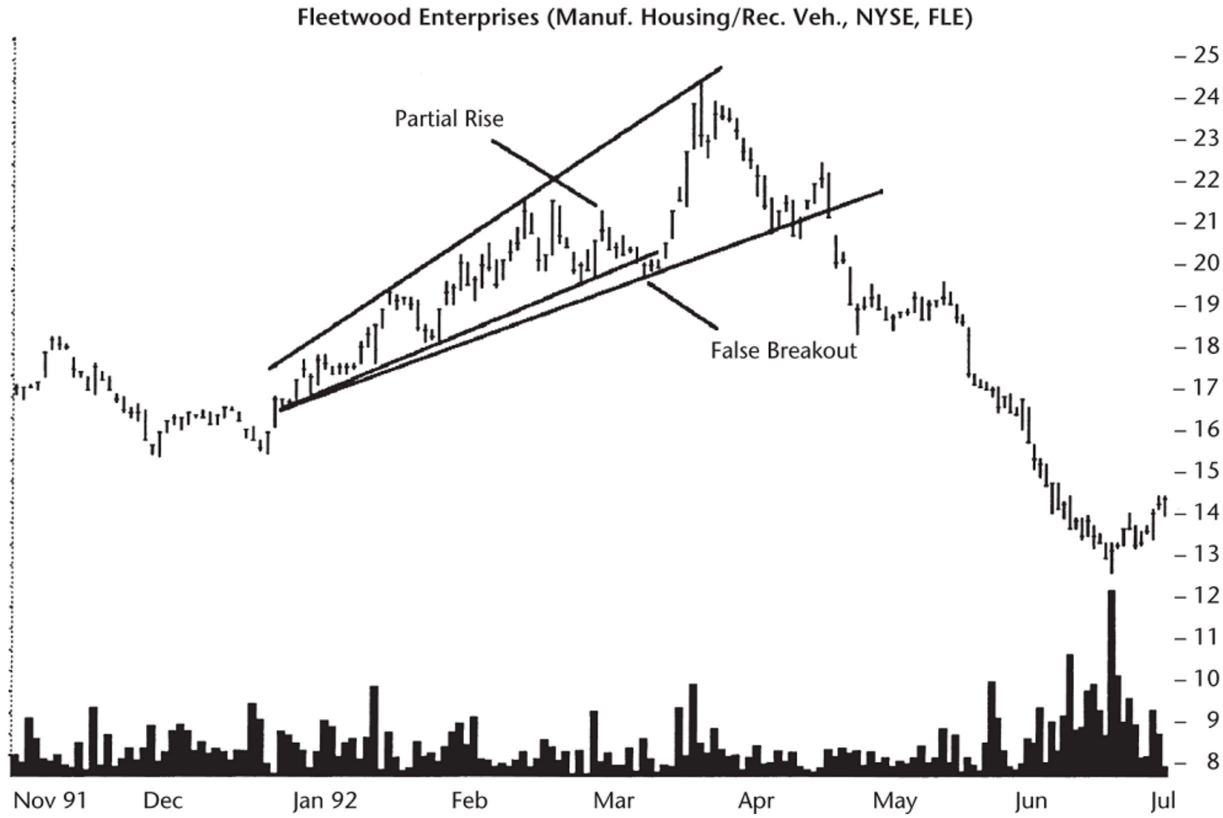

Figure 12.3 A broadening formation fails to continue moving down, requiring a redraw of the formation boundaries. The internal partial rise is rare, occurring in about 5% of wedges.

The situation changes just before the new year. Price starts moving up on 23 December. The stock reaches a new high in mid-January but soon moves down. At that point, two tentative trendlines connect the highs and lows. Although it is too early to form a definitive conclusion, a broadening wedge appears to be taking shape. After price moves up and touches the upper trendline, then pulls back to the lower one again, the broadening wedge formation is clearly visible. At the start of March, price moves higher but quickly stalls, turns around, and pierces the lower trendline. The partial rise and trendline penetration suggest a trend change is at hand.

Price has broken out downward, but it only lasts for 3 days, moving in a tight congestion pattern that sees price zoom upward and touch the top trendline. If you're so inclined, redraw the bottom trendline to accommodate the slight decline below the old trendline. Clearly, price has more work to do before declining below the lower trendline again.